

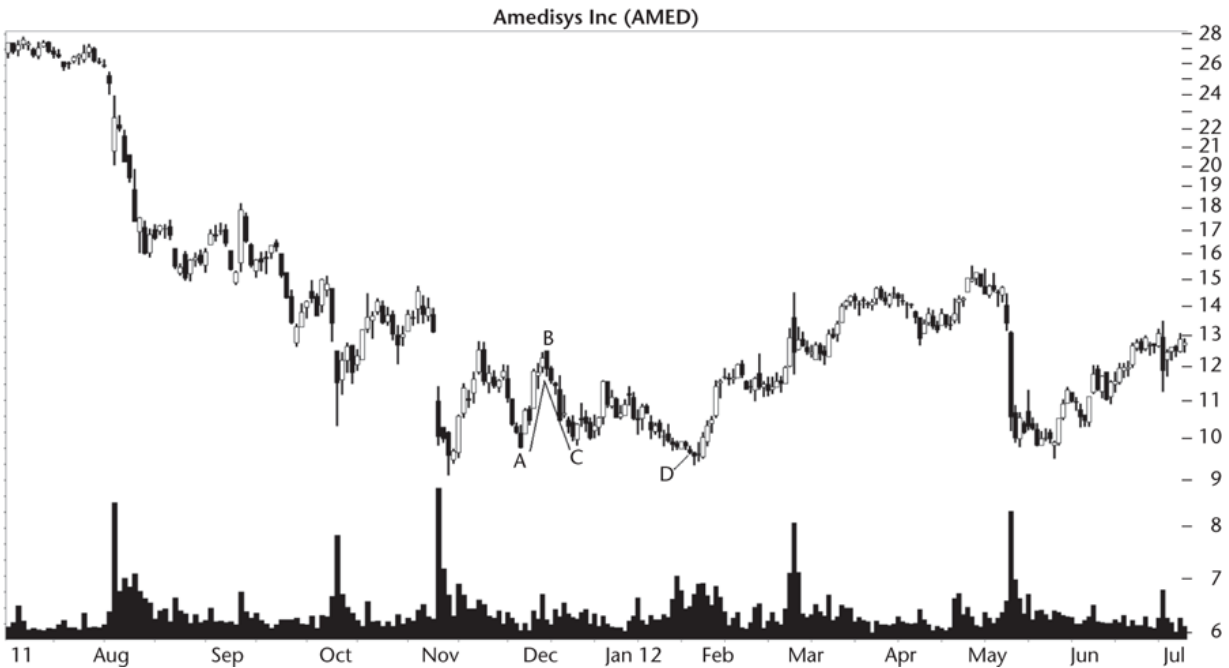


Figure 71.1 A V-top appears at the bottom of a downtrend.

Identification Guidelines

Table 71.1 shows identification guidelines.

Appearance. The V-top is a pattern that sees price make a dramatic move higher, often following a straight line. The uptrend reverses. In well-behaved patterns, the move down the right side of the pattern mirrors the rise on the left.

For example, the V-top in **Figure 71.2** is at ABC. Price rises from A to B and then just as quickly drops from B to C. Notice that C doesn't quite make it down to the launch price A, and that's typical for many patterns, not just the V-top. Keep that tip in mind: *Price doesn't return to the launch price*. It comes close, but often stops just above the launch price. You can use that tip in your trading to better time your exits.